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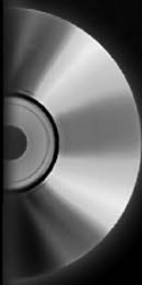
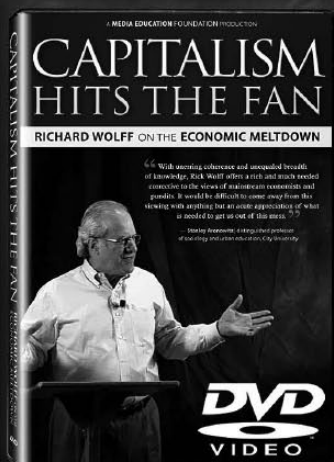
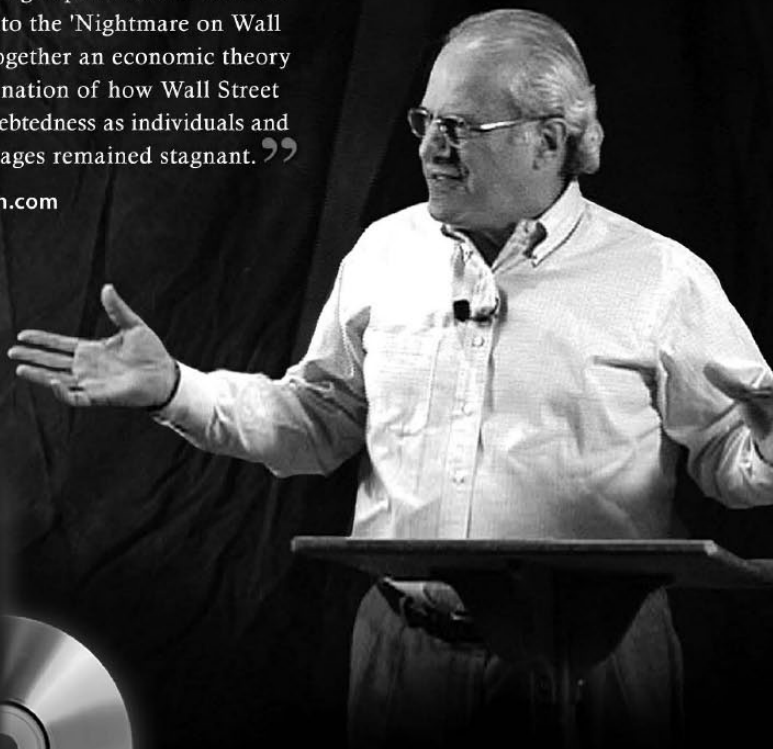
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Platform Capitalism: What's at Stake for Workers?

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Labor market insecurity has been expanding rapidly in recent years, as downsizing, outsourcing, and the use of “contingent” labor have all combined to weaken the “standard” work arrangement—full-time work with benefits and a living wage—that workers had come to expect during the post–World War II period.¹ This trend has been much studied in both the United States and the European Union, with a sprawling literature as the result.² Although much remains to be known about the rise of precarious work, one particular issue seems especially pressing (and prompts the current article) the rise of the on-demand economy, which has only come to dominate the economic landscape within the last decade. If the proliferation of precarious work was well underway *before* the rise of Uber, TaskRabbit, and Upwork, what is likely to transpire now that the digital revolution has taken root?

[In platform work] gone are sick days, worker compensation, minimum wage coverage, eligibility for Social Security or unemployment insurance, or coverage under the National Labor Relations Act (NLRA) . . .

To begin to address this question, we need estimates of the size of the platform-based work force, and for this, we need some clear definitions. Platform companies generally use cloud-based technologies to mediate or match workers with consumers, whether these are ride hailers, restaurant customers, or homeowners seeking repairs or housekeeping. Consumers find this enormously convenient of course, and platform

companies tout the freedom and autonomy workers allegedly enjoy. But built into the digital systems are certain features that have prompted widespread concern. First, platforms in effect extend the logic of the “just-in-time” inventory system into the provision of labor services. Workers are no longer hired into *jobs* but merely hired to perform one-off *tasks*. Second, since companies control the labor process through the digital platforms they provide, workers are subjected to an “evaluative infrastructure” that uses quantitative ratings as a form of reputational control.³ And third, since workers are legally redefined as independent contractors, workers are on their own: they must use their own equipment, cover operating costs, handle their own accounting and taxes, and provide their own insurance—if they can afford it. Gone are sick days, worker compensation, minimum wage coverage, eligibility for Social Security or unemployment insurance, or coverage under the National Labor Relations Act (NLRA) that governs standard employment. Although most platforms fit this broad characterization, there are also enormous differences among them. One helpful way of approaching the problem is to view these platforms along two interrelated dimensions: the skill and expertise involved in the work, and the global dispersion characteristic of the transaction. Figure 1, adapted from a European Commission report, portrays these variations.⁴

At the top of Figure 1 are “crowdworking” platforms, whose participants are globally dispersed and, thus, almost never meet face to face. At the less skilled end of the continuum,

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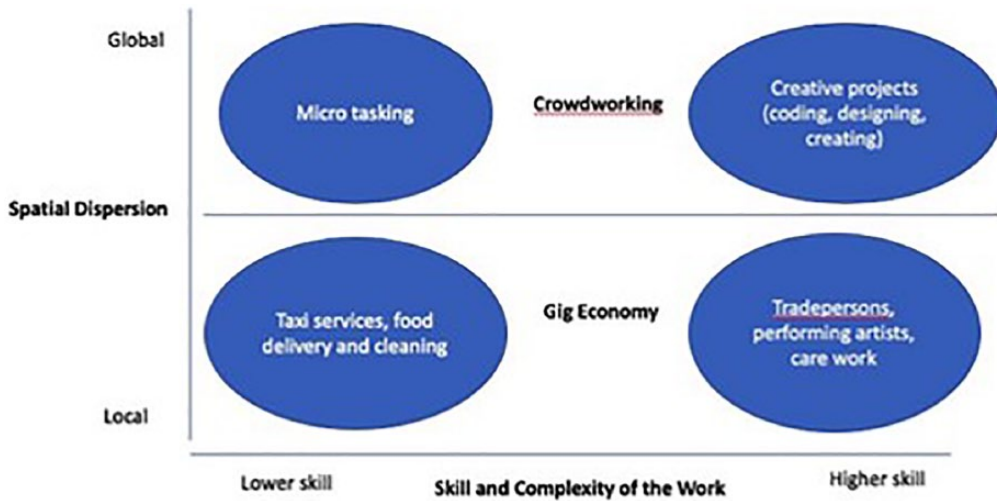


Figure 1. Types of work in the platform economy.

Source. Adapted from "The Social Protection of Workers in the Platform Economy." Brussels: European Parliament, Policy Department A: Economic and Scientific Policy. November 2017.

where Amazon Mechanical Turk (AMT) and Figure Eight reside, workers bid to perform routine "microtasks" such as classifying photographs or completing surveys. Toward the more highly skilled end of crowdworking, one finds freelancers, programmers, and graphic designers participating on sites such as Upwork, where workers compete for projects that are often highly complex. Crowdworking platforms often operate like disembodied auctions whose participants are separated in both space and time, a fact that imposes sharp constraints on the possibility of worker mobilization.

By contrast, "gig work" generally refers to labor platforms in which buyer and seller must interact in a face-to-face transaction. At the less skilled end of the continuum are ride-hailing platforms such as Uber and Lyft and courier platforms such as Uber Eats and Deliveroo. Platforms at the more highly skilled end of the continuum include those whose participants offer artistic performances, home repair, cleaning, or care work of various sorts. Here, interaction occurs between workers and customers, and under certain conditions among workers themselves, though this varies sharply. Given the proliferation of platforms within each of these types, the on-demand economy represents a diverse and complex ecology that warrants careful study.

The Advent of Platform Capitalism

The first question to be raised concerns the aggregate size of the on-demand economy, and here, the estimates vary widely.⁵ At the low range of estimates is the estimate from Lawrence Katz and Alan Krueger, which found that platform workers constituted only one-half a percentage of the labor force. At the high end is the figure reported by the Pew Research Center, whose 2015 survey puts the figure at 8 percent of the working-age population. A recent European study counted only workers who earned most of their income via platforms, and found that this accounted for 4.3 percent of the U.K. labor force. A reasonable estimate of the U.S. platform workforce that includes both part- and full-time workers would probably not exceed 5 percent. Although these numbers may seem modest, the platform labor force has shown remarkable growth. For example, in a study conducted for JP Morgan Chase, policy analysts Diana Farrell and Fiona Greig found that labor platform participation had increased tenfold between 2012 and 2015, a trend that persisted into the last month of their research in 2015. Growth has been particularly sharp in some sectors, with the ride-hailing industry a

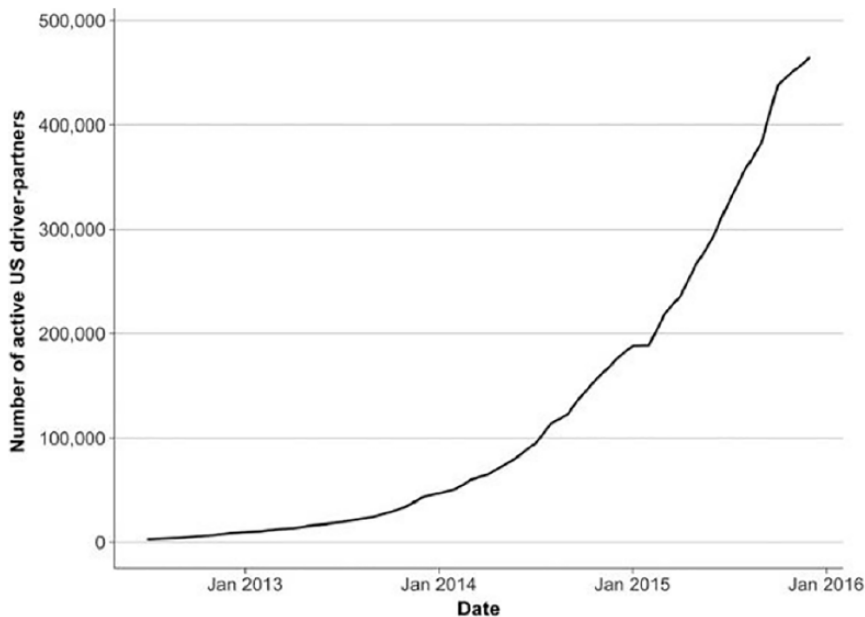


Figure 2. The number of active Uber drivers in the United States each month.

Source: Hall and Krueger (2018). Uber administrative data.

Note: U.S. UberBLACK and uberX driver-partners providing at least four rides in any month (1,085,765 individuals), which is how we define an active driver-partner.

case in point. As Figure 2 shows, the number of “active participants” driving for Uber increased dramatically from 2013 through 2015, reaching nearly half a million drivers. Such exponential growth may be one reason why earnings on for-hire vehicle platforms have rapidly declined.⁶

Wage stagnation and the decline of the standard work arrangement foster growth in the labor supply that platform companies can use

Although it is unclear whether labor platforms can sustain such growth, it does seem likely that corporations will find crowdworking platforms an increasingly attractive option, since they facilitate the outsourcing of work previously performed in house.⁷ Because crowdworking platforms expand the labor supply available to firms and accelerate the assignment and matching of functions that can be outsourced, they can greatly reduce the transaction costs that outsourcing incurs.⁸ At the same time,

the state of the conventional labor market has an important effect on the supply of workers willing to participate on platforms: the weaker the economy, the greater the size of the platform labor supply. Beyond such cyclical variations, however, a more structural dynamic may have emerged: Wage stagnation and the decline of the standard work arrangement foster growth in the labor supply that platform companies can use, while the existence of the platforms further erodes the standard work arrangement. Such dynamics are as yet poorly understood.

Critics of labor platforms often decry the poor conditions (low earnings, lack of benefits, exposure to risks) that workers encounter. Although there is an obvious truth in this criticism, it is important to acknowledge the sharply varying labor market positions that platform workers hold. Although some workers are fully dependent on platform earnings—a situation that especially befalls workers of color⁹—a much larger proportion works mainly to supplement earnings gained from other “W-2” jobs as employees. According to the Aspen Institute/*Time* magazine study of three thousand respondents, only a third

of all platform workers earned a majority of their income from their online work.¹⁰ But even this survey found that participation was driven at least as much by the sheer need for income as by the desire for flexible work situations. A surprisingly large proportion of platform workers—including half of all Uber drivers—have college educations,¹¹ and most report being married. These findings suggest that, in many cases, the growth of the platform workforce is a response to the broader problems of wage stagnation and weakening provisions for career mobility, forcing educated workers to resort to platform work to fill in the gaps. This view fits with sociologist Juliet Schor's argument that "well-off and highly educated providers" are "doing work that is traditionally done by people of low educational status," even if only on a part-time basis.¹² It remains to be determined whether workers do so out of an entrepreneurial urge to get ahead, the experience of blocked mobility, or both.

Although there are many gaps in our knowledge of platform companies, analysts on both the left and the right have advanced sweeping claims regarding their social and economic consequences. Arun Sundararajan, author of *The Sharing Economy*, welcomes the "end of employment and the rise of crowd-based capitalism," which he envisions as an "emerging networked society of microentrepreneurs."¹³ In their critical analysis "The Rise of the Platform Economy," Martin Kenney and John Zysman suggest that platforms have in effect taken the place of factories as the locus of economic power, giving platform companies a position that is "even more formidable than was that of the factory owners in the early industrial revolution."¹⁴ In their careful review of the data, Schor and sociologist William Attwood-Charles suspect that the gig economy is "fostering a new 'servant' economy." By making cheap labor available at the click of a finger, these platforms and apps are leading to a world in which lower income people are deployed to perform everyday tasks for the more fortunate, whether it is delivering a latte in a rainstorm or picking up groceries.¹⁵

There is very likely truth in these accounts. But as recent legal and political struggles have shown, the precise contours of the on-demand

economy have not yet congealed in any fixed or clearly definable form. For one thing, platforms such as TaskRabbit, Deliveroo, and Uber have proven highly volatile, frequently changing their business models, compensation systems, and pricing strategies over time, and thereby inviting conflict with the workers they attract. Moreover, the reclassification of workers as independent contractors is subject to regulatory policies and judicial rulings whose outcome remains far from clear. And as platforms grow in importance, conflict over their practices is sure to gather force.

Genealogy of the On-Demand Economy

To understand how these struggles are likely to unfold, it is important to explore the institutional developments that made the platform economy possible in the first place. One important impetus was financial, stemming from the infusion of venture capital following the deregulation of banking in the mid-1990s. During the dot.com years, venture capital and private equity investments flooded into Internet startups, funding more than fifty thousand new ventures between 1998 and 2002. Technology stocks tripled in value between 1997 and 2000, amounting to a \$5 trillion increase in value before the crash.¹⁶ Although the dot.com crash calmed much of this fervor, the success of Uber and Airbnb confirmed investors' dreams. In short, the on-demand economy is in part an outgrowth of the broader financialization of the U.S. economy, as capital sought outlets for its voracious investment needs.¹⁷

An important point, however, is that the rise of the platform economy is in many ways an outgrowth of the "retail revolution" that began two decades before the Internet came into widespread public use.¹⁸ The retail revolution was led by upstart discount firms such as Walmart and Target, who undermined the power of domestic manufacturers and incumbent department stores, doing so by constructing elaborate contracting arrangements that stretched thousands of miles across the globe. Constructing such value chains required that retailers deploy a new technology of governance—logistics knowledge and expertise, initially developed by military

institutions—which retailers used to great effect.¹⁹ Bar-code technology, computerized inventory systems, and satellite technology all allowed Walmart to link production processes with consumer transactions, in effect “pulling” production upstream from the consumer end—an innovation that set the stage for the on-demand economy. It was here that firms came to appreciate the strategic value that resides in the accumulation of detailed information about consumer behavior. Perhaps most important, the retail revolution showed that a firm’s ability to capture value no longer required direct ownership of factories and capital assets. Profits could more easily be captured by gaining control over the conduits through which goods and services must flow. In effect, *labor platforms have simply repatriated logistics technology, applied it to affluent urban areas, and given the technology a more prominent, public-facing front end.* It is no accident that the beginnings of the ongoing struggle over worker re-classification were unleashed in the late 1970s, when major trucking companies redefined their drivers as “owner-operators” rather than employees.²⁰

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Viewing the platform revolution in this way helps us see that its workforce belongs to a much larger category of workers than is ordinarily understood. For many platform workers are in fact logistics workers, in that they facilitate the movements of goods and people across the social landscape. As such, they have much in common with a broader group that includes warehouse workers, truck drivers, port drivers, and others involved in the circulatory system of contemporary capitalism. As some have noted, there is latent power implied in logistics work. A single cyber-attack on Amazon would demonstrate the functional indispensability of logistics workers, especially at the system’s choke points.²¹ The question is whether logistics

workers can begin to identify themselves in ways that can make use of such potential power.

Platforms: Threats and Opportunities

If the on-demand economy has yet to congeal into a fixed, institutionalized state, what should labor activists and their allies anticipate? What threats does platform capitalism pose to workers’ interests, and where can opportunities for mobilization and democratic input be found?

Threats to worker well-being have to some extent already been broached. Because they reduce the cost of the transactions needed to outsource even complex work, crowdworking platforms such as Mechanical Turk and Upwork are likely to accelerate outsourcing, and exacerbate the long-term trend that leads “from the *career*, to the *job*, to the *task*.”²² The danger here is that the job stability and internal labor markets that firms once provided will increasingly lie beyond the grasp of aspiring employees.

An equally important threat stems from the worker’s exposure to an entrepreneurial rhetoric that individualizes workers and invites them to view economic activity as a competitive game that provides little space for mutual support or labor solidarity. The prevalence of such entrepreneurial individualism is apparent among Uber drivers (who often have to compete for customers) and Upwork (where workers bid against one another in winner-take-all contexts). Sites such as Instagram and YouTube also foster competitive individualism, with workers engaging in what Brooke Duffy, author of *(Not) Getting Paid to Do What You Love: Gender, Social Media, and Aspirational Work* has called “aspirational labor”—unpaid work performed in hopes the worker can achieve monetary success or even “micro-celebrity.”²³ That some workers do indeed value the flexibility and control over their own work schedules is likely to pose a barrier to organizing in many sectors of the platform economy.

Political threats, too, exist. The retail revolution rested in part on the wave of deregulation and shifts in antitrust policies that began under the Reagan Administration.²⁴ In much the same way, the expansion of platform firms

presupposes the existence of a favorable legal and regulatory environment. This is why Uber and other platform firms have mounted massive lobbying campaigns that seek to reconfigure employment law and regulatory policy among state governments. According to the National Employment Law Project, in 2016, “Uber had 370 active lobbyists in 44 states, dwarfing some of the largest businesses and technology companies.”²⁵ Firms have often pressured state legislatures to adopt “pre-emption” laws that deny cities the legal right to strengthen platform workers’ rights. These struggles closely resemble campaigns by the temporary help industry in the 1960s, which also sought to construct an industry-friendly legal infrastructure.²⁶ In some cases, however, lobbying by platform firms has suffered notable defeats, as in the 2018 *Dynamex Operations West v. Superior Court of Los Angeles* ruling, in which the California Supreme Court overruled the effort by a logistics company to reclassify employees as independent contractors.²⁷ Even if the two sides are unequally armed, the outcome of these political and legal battles remains far from clear.²⁸

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Indeed, platforms often exhibit important vulnerabilities, providing opportunities that workers and activists have been happy to exploit. One source of worker leverage occurs in cases where platform workers share relational spaces in which to routinely interact. This was the case with the wave of protests in many European cities involving Deliveroo and foodora workers, who often congregate near the restaurants they serve.²⁹ A similar pattern was observed in H. C. Robinson’s doctoral dissertation, which was a study of Uber workers in Boston, where drivers used social networks based on ethnic ties and routine interactions at a common parking lot to wage a “strike against the algorithm.”³⁰ These instances have strategic value, since they suggest organizational possibilities that would otherwise

remain invisible. Interestingly, PhD student Hatim Rahman’s study of Upwork finds that contractors were able to game the platform’s reputational controls, informally negotiating their reviews with clients—a phenomenon that needs much further study.³¹

Since shared spaces are only rarely available to crowdworkers, many compensate for these absences through online forums such as *TurkerNation* and *Turkopticon*, which provide at least a modicum of mutual support. *Turkopticon*, itself a platform, enables *Turkers* to rate the trustworthiness of potential clients, and more generally helps them “watch out for each other—because nobody else seems to be.”³² It is worth noting that where platform workers do remain isolated from one another, the very absence of a common work space also frees them from management’s normative controls and makes captive audience meetings impossible. Especially since platforms rely on algorithmic controls and reputational systems that often seem highly arbitrary, the loyalties of the worker are themselves highly contingent. Finally, since labor platforms lack the spatial boundaries of traditional workplaces, activists can gain access to gig workers simply by ordering their services, much as any customer might do.

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A further source of leverage on which platform workers can draw stems from company sensitivity to bad publicity, since platform companies must maintain the confidence of consumers, regulators, and especially investors. Uber is not likely to forget the missteps it took that provoked #DeleteUber, which led two hundred thousand users to forsake the firm’s service in 2017.³³ In the current setting, when prominent social media companies such as Facebook and Twitter have suffered a steady stream of public criticism, the question is whether “name and shame” campaigns can pressure platform firms to improve the terms

and conditions that workers face. Ironically, the availability of social media platforms can help foment resistance against labor platforms, suggesting that platforms can interact in highly complex and contradictory ways. Equally ironic is the fact that reputational surveillance has been vital to the very workings of platforms; perhaps their own reputations in the wider public can furnish activists with a lever against the companies themselves.

A . . . source of leverage on which platform workers can draw stems from company sensitivity to bad publicity

What paths can platform worker mobilization pursue? One obvious path is that of *unionization*. Although platform workers are usually categorized as “independent contractors,” and thus lack collective bargaining rights, a number of trade unions have sought to help defend these workers’ interests. In the United States, prominent examples include the International Association of Machinists (which has formed the Independent Drivers Guild), the New York Taxi Workers Alliance (now formally affiliated with the AFL-CIO), and the Teamsters (which has worked to regulate ride hailing platforms in Seattle especially).³⁴ In Europe, the Independent Workers Union of Great Britain (IWGB) has formed a branch devoted to couriers and logistics workers, which figured prominently in the 2016 wave of job actions among London couriers.³⁵ In Germany, IG Metall has led an effort to unite trade unions in multiple nations (Austria, Denmark, Germany, Sweden, and the United States) in support of platform workers’ rights, the better to avoid what union leaders called “digital feudalism.”³⁶

Yet the union path has achieved precious few gains to date. Mindful of this, some scholars and activists have proposed a different route, steeped in what Trebor Scholz terms *platform cooperativism*,³⁷ in which workers themselves own the platform and collectively regulate the terms and conditions its members enjoy. The difficulty of competing with digital behemoths is obvious, but the advantage is that

revenues need not be siphoned off to please institutional investors, and the governance of the platform can reflect workers’ authentic preferences. Scholz cites numerous examples of successful platform cooperatives in the United States and Europe. A European entity called SMart (for *Société Mutuelle pour Artistes*) has attracted eighty-five thousand members in nine European countries.³⁸

A third path of platform contestation is that of *direct action*, as in the European #Slaveroo movement of food couriers.³⁹ These movements (themselves aided by unions) have often involved workers staging job actions, protests, and flash strikes to publicize their plight. Such actions often provide a source of in-person solidarity that would otherwise be absent. Since these instances of direct action often emerge at moments when platform firms have changed their payment systems, the economic fortunes of the platforms are of central importance here.

. . . A European . . . [platform cooperative] called SMart (for Société Mutuelle pour Artistes) has attracted eighty-five thousand members in nine European countries.

Scholars such as Canadian writer Nick Srnicek believe that the business models of many labor platforms are inherently fraught, with firms kept afloat owing to “asset price Keynesianism”⁴⁰—essentially, investor subsidies that reflect the inflated levels of capital valuation that platforms have enjoyed. Uber’s inability to turn a profit, for example, may not stem from its “growing pains” but instead reflect “deep structural deficiencies in ride-hail industry economics”⁴¹ that will render their operations impossible to sustain. If investor capital loses its patience, and platforms are compelled to shift their payment models, the governance problems of many platforms are only likely to grow. If so, workers and activists will face at least two challenges: they will need to form coalitions with consumer groups, and they will need to have in hand clear policy

proposals regarding regulatory policies that can protect platform worker rights.

... [I]mposing a “safety net” tax on the use of labor in any form, whether in “standard” employment or a contracting relation ... acknowledges the need for social protection of all workers

One approach to labor regulation has centered on the classification of workers as independent contractors or “1099s.” Legal traditions inherited from the era of Fordism now make it impossible for contractors to act collectively, since doing so would trigger enforcement of antitrust law. Yet some platform workers actually are independent contractors, and recognizing their distinctive position itself carries risks, in that carving out a distinctive status for them may only encourage firms to abandon the standard employment relationship itself.⁴² One promising suggestion is the idea of imposing a “safety net” tax on the use of labor in any form, whether in “standard” employment or a contracting relation. Firms that provide benefits and/or better levels of compensation would enjoy a remission of the tax, while those that fail to provide such job rewards would have to pay their fair share of the society’s needs. The strength of this idea is that it acknowledges the need for social protection of *all* workers, regardless of their legal status. This, at least, is a straightforward way of taming the platform beast.⁴³

What Next?

Platform firms have benefited from the ubiquity of hand-held devices, investor confidence in their value-creating potential, gaps in employment law, and the existence of a powerful rhetoric of freedom and independence. Countering these developments has proved difficult, not only because of the economic and political power of firms such as Uber but also because of the substantial heterogeneity of the platform workforce itself. Compounding these divisions are racial and ethnic divisions, which can complicate calls for stronger regulations of platform

firms. This has been the case in struggles over Uber in London, for example, where Uber has gained support from many immigrant drivers, who have been historically blocked from entering that city’s taxi industry. Racial and ethnic divisions have also affected the struggle to limit the number of Uber drivers on New York City streets, since minority passengers find Uber far more accommodating than taxi drivers.⁴⁴ Such cases allow Uber to position itself as the more progressive social force. When added to the support Uber derives from its user base, such ethno-racial divisions are likely to make organizing an even more challenging task.

Any number of questions arise at this point. Do the recent struggles mounted by food couriers, as at Deliveroo and foodora, prefigure instances of direct action that are likely to grow? Will the sporadic job actions surfacing among Amazon workers begin to resonate with platform workers, who are in fact part of the logistics revolution that is remaking contemporary capitalism? If strains are apparent in labor market institutions during relatively buoyant times, what will emerge during the next downturn, when pressures mount on platforms to achieve higher levels of performance? The answers will be forthcoming in the streets—with notifications appearing on our smartphones, too.

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